

**Time:** 4 minutes**Outcome:** Distinguish Sunk & Avoidable Costs.**Difficulty:** ●○○ Beginner

Sunk & Avoidable Costs



THE CORE IDEA

A sunk cost has already been incurred and cannot be recovered. It is identical across current alternatives, so it should not affect the choice. Avoidable costs change with the action chosen and belong in the comparison of future benefits and costs.



HOW TO RECOGNIZE IT

- Ask whether a cost has already been incurred and cannot be recovered.
- Exclude sunk costs from the comparison among current options.
- Include avoidable costs because they differ depending on which option is chosen.
- Focus on future benefits and future costs that change with the decision.



WATCH OUT

Fixed does not necessarily mean sunk. A refundable license payment is recoverable, so the refund forgone by continuing is relevant to a shutdown decision.



WORKED EXAMPLE: IGNORE OR INCLUDE THE COST?

A theater has already paid a nonrefundable \$4,000 license fee. Canceling tonight's show avoids \$3,000 of staffing and utility costs but gives up \$5,500 of ticket revenue. The sunk \$4,000 does not affect the current decision. Because operating adds $\$5,500 - \$3,000 = \$2,500$, the theater should hold the show.



CHECK YOURSELF

A fixed annual license can be surrendered halfway through the year for a \$4,000 refund. For a midyear shutdown decision, which amount is relevant?

**READY?**

Return to the game and master this concept.